

TheFatCat Whitepaper

Decentralized Trading-Tax Routing Protocol with Adaptive Damping and Seniority Weighting

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TheFatCat Protocol Core Contributors · Protocol Rules and Calculation Models
This document contains no representations of anticipated return on investment or yield commitments

Abstract

TheFatCat is an experimental DeFi protocol combining Meme culture with decentralized trading-tax routing. Actual tax revenue enters reserves, is allocated by meal and position weight, and settles in each position's selected diet asset.

The Belly treasury, position-based diet selection and a seniority ladder from Notch 1 to Notch 22 determine participation. Revenue, allocation and receipt are separate stages: a meal records shares, while purchases or fallback settlement make rewards claimable. Staked principal is held separately and is not used for reward purchases.

1 Revenue Routing and Fee Allocation

Eligible FATCAT trades carry a 4% trading tax. FATCAT launches paired with QQQB. After Flap deducts its platform fee, QQQB revenue is converted through a fixed route to WBNB. Post-graduation liquidation is batched; each trade does not necessarily create an immediate Belly inflow.

Flap's platform fee is included in the tax and takes 5% of collected tax, nominally 0.2% of eligible trade value. An eligible successful FEED conversion first credits a reward of one thirty-eighth of its gross WBNB output, rounded down. Remaining net revenue splits 85% to Belly and 15% for development, operations and marketing. The project share is rounded down, with every remainder going to the treasury and no duplicate operations deduction.

Destination	Share	Calculation Basis
Flap platform fee	0.2%	Eligible FATCAT trade value
Eligible Feeder reward	0.1% nominal target	Eligible trade value represented by this conversion
Belly reward treasury	85%	Net proceeds after any earned Feeder reward
Development, operations and marketing	15%	The same remaining net proceeds

The on-chain Feeder reward uses actual conversion output, rather than trade value. One thirty-eighth is about 2.63158% of output. Its nominal 0.1% trade-value equivalent assumes the standard fees, unchanged prices and no conversion costs. Prices, fees and rounding change the actual equivalent.

For an illustrative trade value of 10,000 common units, the 400 tax units split into Flap 20, project funds 57 and treasury 323 without a Feeder reward. With an eligible reward, they split into Flap 20, Feeder 10, project funds 55.5 and treasury 314.5. Both total 400 under the same assumptions; neither promises a particular token receipt.



Figure 1: From Trading Tax to Position Rewards

2 Belly Reserves and Allocation Cadence

Belly retains revenue before allocating it meal by meal. A new budget excludes funds reserved for earlier allocations awaiting settlement, preventing the same funds from being allocated twice. Participation eligibility, asset probation limits and downward rounding can also constrain a meal's allocation.

Advances are at least eight hours apart. An on-time eight-hour meal in the reward period nominally allocates at most $1/21$, about 4.76%, of unreserved funds. Delayed advancement counts at most 16 hours of eligible reward time. Each successful advance closes one meal and starts the next at the current time; it does not recreate every missed meal.

With no new inflow, regular eight-hour advances, eligible meals, complete allocation execution and no rounding effects, unreserved funds decline by a factor of $20/21$ per meal:

$$U_k = U_0 \cdot \left(\frac{20}{21}\right)^k$$

Both the starting and remaining amounts refer to unreserved funds, and the meal count uses the eligible meals above. The model's half-life is about 4.736 days, with about 1.24% remaining after 30 days. Constant inflow every eight hours gives an ideal equilibrium balance of 21 times the per-meal inflow. Revenue variation, maintenance delays, pending settlement and limits change actual results. This is not a payment deadline or a yield forecast.

Actual Belly outflow has a separate eight-hour allowance. Initially it is $16/168$, about 9.5238%, of the total WBNB balance when the window opens, including reserved funds. New deposits do not raise the current allowance. Allocation and outflow limits apply separately. Claims of settled rewards do not consume this allowance, and principal redemption does not depend on reward outflow.

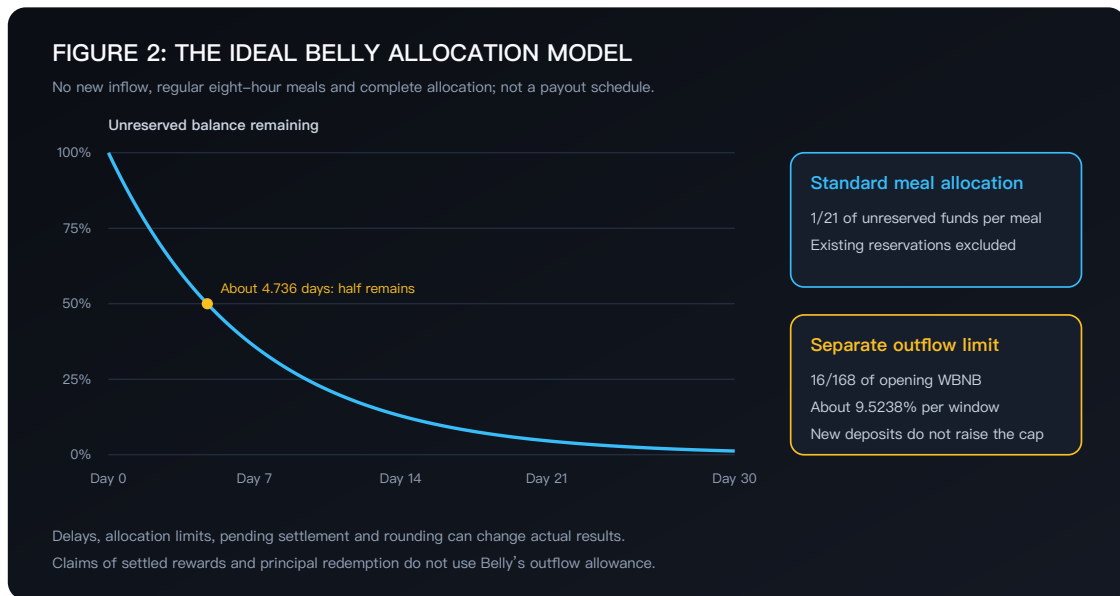


Figure 2: The Ideal Belly Allocation Model

3 Independent Positions and Seniority

An ordinary position requires at least 100,000 FATCAT in whole tokens. Each stake creates a separate position with its own principal, diet and seniority. Additional funds require a new position; they cannot merge into an old one and inherit its seniority.

A new position does not participate in the meal already underway. It activates at Notch 1 when the next meal begins, then gains one notch per completed active meal up to 22. At the standard eight-hour cadence, reaching Notch 22 takes 21 completed active meals, about seven days. Maintenance delays can extend the climb.

Position allocation weight = staked principal × current seniority multiplier. At equal principal, Notch 22 has 22 times the weight of Notch 1. At equal seniority, ten times the principal gives ten times the weight. Actual shares also depend on total eligible weight, and new staking can dilute existing positions. A 22× weight does not promise a fixed 22× return.

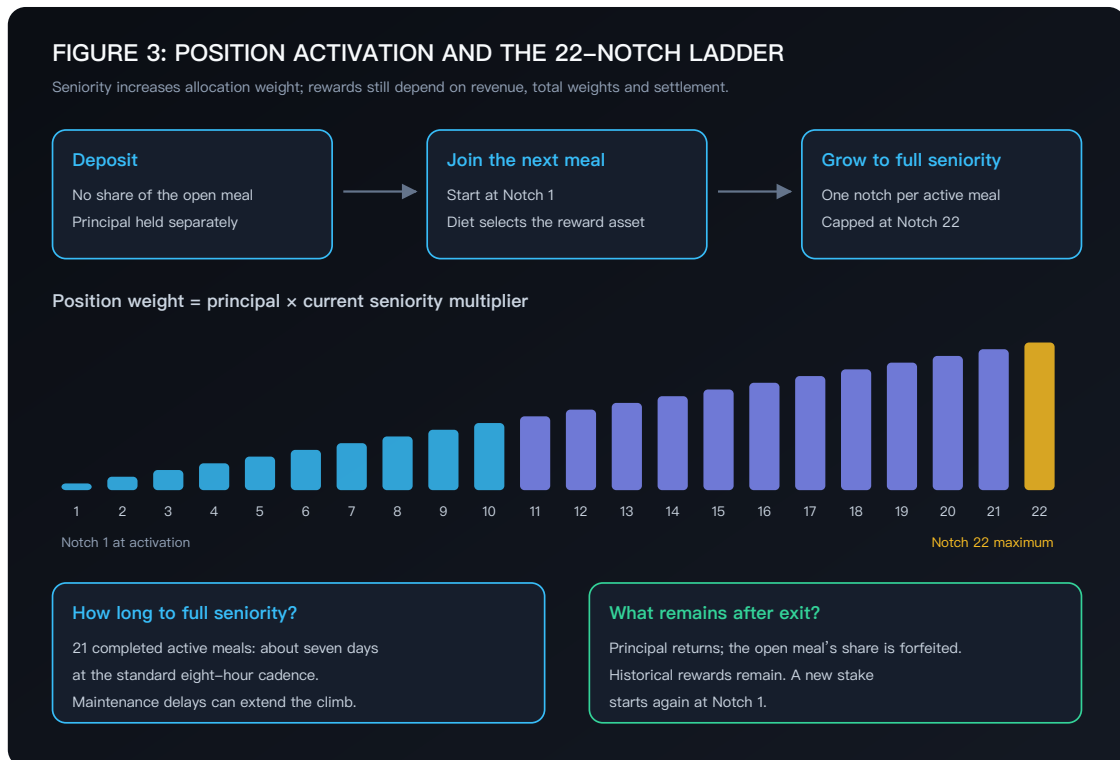


Figure 3: Position Activation and the 22 Notch Ladder

4 Diet Selection and Reward Claims

Each position independently chooses a reward asset from the enabled menu. The initial menu is BNB/WBNB, QQQB, SPCXB, NVDAB, SPYB and GOOGLB. FATCAT and future assets are available only when actually enabled.

Diet changes preserve seniority and take effect next meal; the currently open meal retains the previous selection. Historical settled rewards under the old diet remain claimable after a switch or removal from the active menu.

BNB is the default and fallback asset, accounted on-chain as WBNB and unwrapped to native BNB when claimed. Other assets are purchased together; received quantities depend on execution price and eligible batch shares. Users need no separate market swap for each stake or claim, but batch execution still carries price, liquidity and MEV risks.

Settled rewards have no protocol expiry. Long unclaimed histories may require smaller-range claims; the current dashboard does not split them automatically. If the website is unavailable, follow the user documentation's emergency instructions to redeem principal or claim settled rewards directly.

5 Settlement Order and WBNB Fallback

Each purchase or fallback handles one asset's complete pending share from one meal. The earliest unsettled meal has priority; assets within it can finish separately, while later meals wait. A blocked asset can delay other diets' later meals. Settled reward claims and principal redemption do not wait for this queue.

Purchases use a time-weighted market price (TWAP), with an initial 3% reward-purchase deviation boundary. Insufficient observations, low liquidity or output below the floor may delay or prevent execution. These protections do not remove every market risk.

Eligible pending shares can settle in WBNB when an asset is disabled or parked, the permitted waiting time is exceeded (initially one day), or a complete meal allocation exceeds the purchase ceiling. Parking preserves weights and future allocations while waiving the fallback age wait. Automatic maintenance prefers fallback, while ordinary purchases may still complete.

Eligibility is not payment. Settlement still needs a successful transaction, correct meal order, a complete allocation and sufficient allowance while Belly outflows are available. One day is not an automatic payment deadline or guaranteed maximum wait. Fallback does not compensate for price losses on tokens already acquired, and recovery does not reverse completed settlements.

6 FEED and Public Maintenance

Anyone can participate through the Belly page, without a participant whitelist. FEED attempts to convert protocol QQQB revenue, advance one due meal and check an assigned batch of reward purchases. Defaults are 16 menu slots and 4 checks per FEED, with limits of 32 and 8. Changes require a three-day governance delay; increasing capacity does not automatically list assets.

Participants pay gas, supply no personal QQQB and cannot redirect the proceeds. The initial conversion range is 0.1–50 QQQB per transaction, subject to prices, liquidity and operating state. At successful conversion, a participating wallet must hold at least 10,000 FATCAT or own a position with remaining principal to earn a Feeder reward.

Eligible rewards are recorded as claimable WBNB separately from staking rewards. Claiming requires gas but does not recheck eligibility. Later advancement or purchase failure does not cancel a successful conversion's reward. Standalone conversion, advancement, purchases and scans without conversion earn no such reward. Scanning also does not guarantee that every asset is purchased.

Ordinary stakers need not run maintenance services. Public or official maintenance still requires successful transactions and cannot guarantee perpetual or immediate progress. Refresh the page and resolve uncertain transaction results before submitting again.

7 Opening Rules and Principal Exit

Staking will open immediately after token graduation. The first seven days are a single protocol-wide reward warmup; a new personal position does not restart it. Seniority and revenue successfully delivered to Belly can accumulate, but no new rewards are allocated. After warmup, successful advancement and valid allocation conditions are still required to create a budget.

Initial reward outflow authorization has its own seven-day delay, independent of the warmup. The two periods need not end together.

Ordinary exit returns all staked principal without an exit fee, lockup penalty or prior maintenance requirement. Exiting forfeits the unsettled share of the currently open meal and ends the position's future participation; historical reward entitlements remain recorded. A new stake starts at Notch 1. Chain unavailability, abnormal token transfers or execution failure can still prevent completion.

8 Custody Boundaries and Operating Risks

Staked principal, Belly reserves and settled rewards are recorded separately. Core principal and reward contracts have no administrative sweep or rescue withdrawal entry points. A protocol pause does not add a gate to ordinary principal redemption; settled rewards remain payable according to entitlements.

Upstream tax and delegated-operation services are external dependencies. The upstream revenue vault can be upgraded until permanently locked, and an authorized Flap role can transfer some tax proceeds in an emergency. These are not users' staked principal. Upgrades can also change delegated staking, redemption, diet changes and claims, so the dependency extends beyond revenue processing. Ordinary redemption and claims still pay the position owner; new staking requires sufficient balance and valid authorization.

The protocol has monitoring and emergency response measures. Where permissions and execution conditions allow, it can pause some operations, restrict affected processes and restore service. Monitoring cannot guarantee detection of every issue or immediate response. Recovery may take time and does not reverse completed transactions.

Third-party assets such as bStocks are not direct shares in the underlying companies. They carry issuer, custody, redemption, transfer and regulatory risks. Newly enabled non-exempt assets have a 5% per-meal allocation cap for seven days, rising to 100% afterward. Initial menu assets are exempt on first enable; re-enabling follows ordinary rules. The 5% limit is not a permanent exposure cap.

9 Time Seniority Certificates

Time-Seniority Certificates are planned for a future release as NFTs. Users with staking positions will be able to burn FATCAT to mint them. The relevant interfaces have been reserved; further details will be announced later.

10 Testing and Conditions of Use

The protocol has undergone extensive internal testing before launch. Regression and stateful invariant tests check implementation behavior; they are not independent audits or formal proofs covering every execution path.

Rewards come from actual revenue, with no fixed yield promised. Downward rounding can leave small residual balances; multi-stage calculations and smaller-range claims can affect receipts in the smallest units. Test conclusions depend on the inspected version, execution conditions and supported token behavior. They do not establish that every risk has been removed.

Before interacting, verify the network, addresses and explorer source against a separately published official deployment record. This document supplies no production addresses and is not investment, legal or tax advice.

11 Official Access and Security Reporting

- Main website: <https://thefatcat.fun>
- Staking system: <https://thefatcat.fun/belly>
- User documentation: <https://thefatcatofficial.github.io/TheFatCat-docs/>
- Public email: public@thefatcat.fun
- Report security issues through the GitHub private reporting channel linked in the documentation, avoiding public disclosure of sensitive details.